

Coffee Report 1

12 December 2025

Executive Summary

Coffee presents a crucial **High-Value Crop opportunity** perfectly aligned with the Kingdom of Eswatini's national strategy to diversify its economy away from an over-reliance on traditional exports like sugar and timber. The government, led by the Prime Minister, has identified the coffee sector as a strategic driver for job creation, youth empowerment, and boosting non-traditional export revenue, aiming to replicate success models from East African nations like Ethiopia.

The global market for coffee is highly valuable (USD 269 billion) and is shifting rapidly toward **Specialty, Ethically-Sourced Arabica**, which Eswatini is uniquely positioned to supply. Our research indicates that the most critical challenge and largest opportunity is **local value capture**. Eswatini is currently a net importer of coffee (spending \$2.32 million annually), while its small volume of raw, green beans is exported, capturing only a fraction of the final retail price. This gap highlights a clear business case for **Import Substitution and Value-Addition**.

1. The Global Context

Market Size & Financials

- **Valuation:** The global coffee market is valued at approximately **USD 269.27 billion (2024)** and is projected to grow to **USD 369.46 billion by 2030**, with a compound annual growth rate (CAGR) of around 5.3%.
- **Supply vs. Demand:** Current forecasts for the 2024/2025-year show demand outstripping supply.
 - **Production:** ~174.4 million bags (60kg).
 - **Consumption:** ~180.2 million bags.
- **Daily Volume:** Approximately 2.25 billion cups of coffee are consumed daily worldwide.

Top Suppliers (Producers) Production is dominated by five countries which account for most of the global supply:

1. **Brazil:** The undisputed leader (~39% of global output), dominating the Arabica market.
2. **Vietnam:** The world's largest Robusta producer (~29–31 million bags).
3. **Colombia:** Focused exclusively on high-quality washed Arabica (~12–13 million bags).
4. **Indonesia:** A major Robusta supplier (~10–11 million bags).
5. **Ethiopia:** The birthplace of coffee and Africa's largest producer (~10.6 million bags).

Top Consumers

- **Per Capita Leaders:** Nordic nations consistently rank highest. **Finland** is #1 (~12kg per person/year), followed closely by Norway, Iceland, Denmark, and the Netherlands.
- **Volume Leaders:** The **USA** and **European Union** are the largest aggregate importers. In the US, 66% of adults drink coffee daily.
- **Trends:** There is a significant rise in demand for "Specialty Coffee" (single-origin, high cupping scores), sustainability certifications (Fairtrade, Rainforest Alliance), and ready-to-drink (RTD) cold coffee beverages.

2. The Climate Change Threat

Climate change is the single biggest risk to the industry.

- **Suitability Loss:** Studies suggest **50% of current coffee-growing land could be unsuitable by 2050.**
- **Arabica vs. Robusta:** *Coffea Arabica*, which makes up 60-70% of the market and fetches higher prices, is highly sensitive to temperature rise. Farmers are increasingly forced to plant *Robusta* (which is more heat/pest resistant but tastes more bitter) or push farms to higher altitudes, which promotes deforestation.

3. The African Context

- **Market Share:** Africa contributes approximately **12–15%** of global coffee output.
- **Key Players:**
 - **Ethiopia:** The giant of African coffee (Arabica). Coffee accounts for **33.8%** of the country's total export earnings.

- **Uganda:** The second-largest producer (~6.7 million bags), notable for producing both Arabica and high-volume Robusta.
- **Others:** Kenya and Tanzania are critical players for high-grade specialty Arabica, though volumes are lower than Ethiopia/Uganda.
- **Economic Impact:** For many African nations, coffee is not just a crop but a macro-economic dependency. For example, coffee constitutes **22.6%** of Burundi's export revenues.

4. Southern African Region (SADC)

- **Status:** Southern Africa is a minor player compared to East Africa. The climate is generally drier, making irrigation essential for coffee in many parts.
- **Producers:**
 - **Malawi, Zimbabwe, Zambia:** These countries have established but small coffee sectors (mostly Arabica) often focused on high-quality niche exports rather than bulk commodity volume.
 - **South Africa:** Primarily a consumer and processing hub. It imports vast quantities of raw beans for roasting but produces very little locally (~200 hectares under cultivation in KZN/Mpumalanga).
- **Regional Trade:** Intra-regional trade is high, with South Africa acting as a major importer of East African beans for processing and re-export into the SADC retail market.

5. Coffee in Eswatini

Current Status & Business Environment Eswatini is currently classified as an emerging/transitioning coffee origin. The sector is small but is undergoing a "Coffee Revolution" driven by government policy and private investment to diversify the economy beyond sugar and timber.

Production & Supply Chain

- **Volume:** Production is forecast to increase by **15% in 2024**.
- **Key Commercial Player: Eswatini Coffee** (based in Lwandle, Manzini) is the primary aggregator and processor.
- **Farmer Base:** Approximately 200+ smallholder farmers are currently registered.
- **Agronomy:** Coffee is largely being promoted as part of **agroforestry systems**—intercropped with banana, avocado, macadamia, and shade trees to mitigate climate risks and provide year-round income for farmers.

Trade Statistics (2023 Data)

- **Exports:** ~\$267,000 USD.
 - *Key Markets:* Senegal, UAE, UK, and Austria.
- **Imports:** ~\$2.32 million USD.
 - *Source Markets:* South Africa (processed/instant), Ethiopia, and Tanzania (green beans).
 - *Insight:* Eswatini is currently a net importer, suggesting a strong opportunity for local import substitution (producing coffee locally to replace imports).

Government & Institutional Support

- **Strategic Priority:** The Prime Minister (Russell Dlamini) has identified coffee as a key driver for economic growth, aiming to replicate Ethiopian success models.
- **Institutions:**
 - **Eswatini Coffee Association (ECA):** The lead body for industry governance and farmer training.
 - **Partners:** FAO, the European Union (EU), and the International Trade Centre (ITC) are actively funding nursery management and capacity-building projects.
- **Opportunity:** There is a specific focus on "High-Value Crops" to utilize idle land, targeting youth and women for employment in the coffee value chain.

Next Steps for ATG R/D

Step	Action Item	R&D Focus Area
1. Site Selection & Water Audit	Identify 2–3 suitable locations (Highveld) and conduct a detailed water resource assessment (borehole capacity, river rights, dam access).	Climate Resilience
2. Processing Feasibility Study	Commission a study on the capital cost and operating model for a central, small-scale processing facility (huller, small commercial roaster, storage).	Value Capture

3. By-Product Pilot	Launch a pilot project with Eswatini Coffee or Guba to process and market Cascara (coffee cherry tea) . This shows commitment to zero-waste and diversified revenue early on.	Innovation & Waste Utilization
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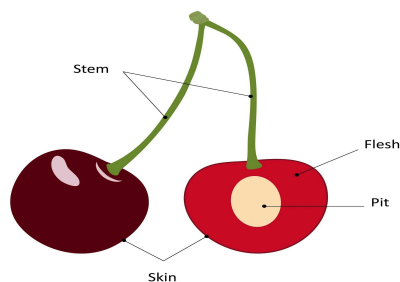
Technical (Basics of coffee production / Products developed from coffee)

A. The Coffee Growing Process

1. **Planting:** Seeds are planted in nurseries. After ~6-12 months, seedlings are moved to the field. Coffee prefers **shade** (agroforestry) to prevent moisture loss.
2. **Flowering & Cherry:** After 3-4 years, white blossoms appear (smelling like jasmine), followed by green cherries that turn bright red (ripe).
3. **Harvesting:**
 - *Selective Picking:* Hand-picking only red cherries (High quality, labor intensive). Used in Eswatini.
 - *Strip Picking:* Stripping the whole branch (Lower quality, unripe beans mixed in).

B. The Processing Methods

Once picked, the fruit (pulp) must be removed from the seed (bean). *



- **Washed (Wet) Process:** Fruit flesh is removed by water fermentation. Result: Cleaner, brighter, acidic taste. (Common in Eswatini).
- **Natural (Dry) Process:** Whole cherries dry in the sun. Result: Fruity, heavy body, wine-like taste.

C. The Roasting Process

Green beans are heated to transform flavor.

1. **Drying (Yellowing):** Moisture evaporates; beans turn yellow/hay-like.
2. **Maillard Reaction:** Sugars and amino acids react; beans turn brown and develop aroma.
3. **First Crack:** The bean expands and cracks (like popcorn). Light roasts stop here.
4. **Development/Second Crack:** Oils rise to the surface. Dark roasts happen here (smoky/bitter flavors).

D. Types of Coffee Beans

- **Arabica:** (60-70% global market). Grown at high altitude. Smooth, complex, acidic.
- **Robusta:** (30-40%). Low altitude. High caffeine, bitter, rubbery notes. Used in instant coffee.
- **Liberica:** (<2%). Rare. Woody, smoky flavor.
- **Excelsa:** (<1%). Tart and fruity.

Eswatni Coffee Vaalin Diagram: From to Speciality Cup (RD Opportunities)

